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Novatek | Asia Pacific

3Q Revenue Growth Led by Smartphones

Key Takeaways

- 3Q revenue guidance calls for 4.7-11.7% Q/Q growth, with the operating margin guided at 19-20%, described as in line with consensus.
- The 3Q gross margin is guided to be slightly lower at 38.5-41.5%, with the decline attributed mainly to unfavorable product mix and elevated costs.
- Management expects smartphone demand to grow significantly in 3Q, citing resilient Apple demand and market share gains.

2Q results beat: Revenue rose 24% Q/Q, mainly from early pull-in demand, with SoC now 50% of total revenue. The GM increased 3.4ppt Q/Q, to 42.4%, supported by price increases, favorable mix and low-cost inventory.

3Q revenue up 4.7-11.7% Q/Q; margin slightly lower at 38.5-41.5%: Management expects smartphone demand to grow significantly in 3Q, as Apple demand remains resilient. SoC revenue should be flat Q/Q, as machine vision edge AI demand offsets LDDI-related SoC weakness. LDDI will decline Q/Q owing to weaker demand and panel makers' decreasing production. GM may decline with an unfavorable mix, but Novatek will likely raise prices again to reflect the cost burden. The OpM will be 19-20%.

Highlights from today's call:

- **Auto:** Expects strong Y/Y growth given share gain.
- **Foundry/OSAT price hike:** Continues to see elevated upstream costs into 2027, passing them through to customers or optimizing design.

Stay UW: We expect the GM to remain resilient at current levels, but valuation is full at 15x 2027e EPS, while the company's exposure to AI is limited.

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Novatek (3034.TW, 3034 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Underweight
Industry View	Attractive
Price target	NT\$414.00
Up/downside to price target (%)	(24)
Shr price, close (Aug 6, 2026)	NT\$543.00
52-Week Range	NT\$606.00-352.00
Sh out, dil, curr (mn)	609
Mkt cap, curr (mn)	NT\$330,422
EV, curr (mn)	NT\$283,876
Avg daily trading value (mn)	NT\$1,812

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	26.87	34.61	35.34	30.17
EPS (NT\$)§	26.61	29.48	32.82	35.80
Revenue, net (NT\$ mn)	100,663	108,436	114,160	108,577
EBITDA (NT\$ mn)	19,573	24,946	25,652	21,884

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P/E	13.9	15.7	15.4	18.0
P/BV	3.4	4.4	4.2	4.2
ROE (%)	24.1	31.1	28.7	23.5
Div yld (%)	6.1	5.5	5.6	4.8

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Novatek 3034.TW			
3Q26 guidance	07 Aug 2026	Unchanged	↓ Modest downside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Novatek (3034.TW)

Base case, residual income model. Key assumptions: cost of equity constant at 9.8% (2.0% risk-free rate, 6% risk premium, 1.3 beta), payout ratio of 80%, medium-term growth rate of 6.1% and terminal growth rate assumption of 3.4%.

Risks to Upside

- Faster-than-expected 8K/4K TV growth.
- Better-than-expected smartphone sell-through.
- Better-than-expected sell-through of foldable products.

Risks to Downside

- Intensified price competition in TDDI, driving Novatek's gross margin below its corporate average.
- Slower-than-expected 8K/4K TV growth.
- Slower sell-through of foldable products.

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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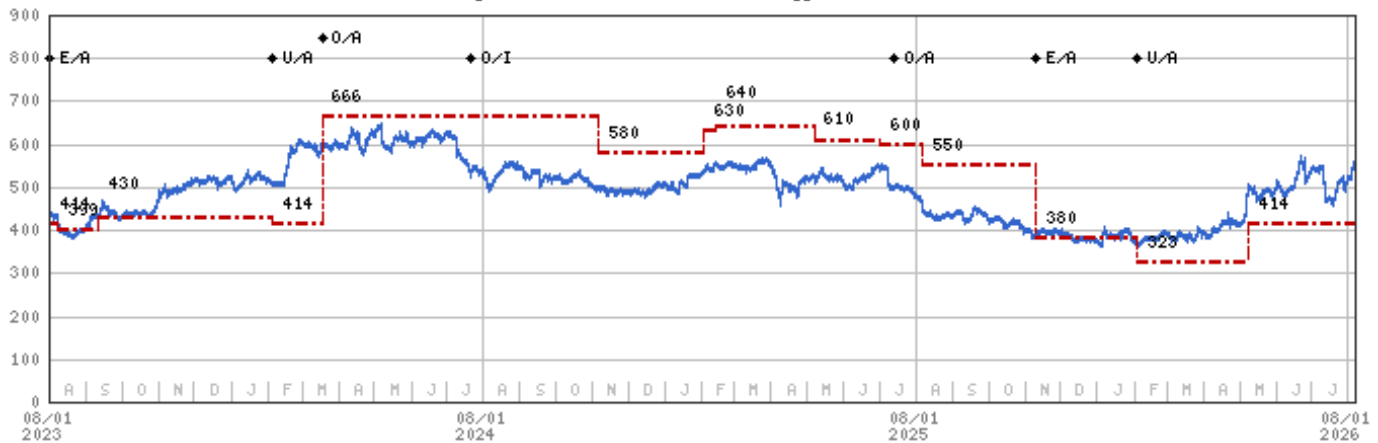
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Novatek (3034.TW) - As of 08/06/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 8/1/21 : U/I; 10/12/21 : U/C; 10/4/22 : U/A; 2/22/23 : E/I; 7/7/23 : E/A; 2/5/24 : U/A; 3/18/24 : O/A; 7/21/24 : O/I; 7/14/25 : O/A; 11/10/25 : E/A; 2/4/26 : U/A

Price Target History: 5/20/21 : 414; 10/21/21 : 313; 5/4/22 : 272; 6/21/22 : 262; 7/12/22 : 174; 8/5/22 : 161; 2/22/23 : 390; 5/9/23 : 414; 8/8/23 : 399; 9/11/23 : 430; 2/5/24 : 414; 3/18/24 : 666; 11/6/24 : 580; 2/3/25 : 630; 2/13/25 : 640; 5/7/25 : 610; 7/1/25 : 600; 8/6/25 : 550; 11/10/25 : 380; 2/4/26 : 323; 5/8/26 : 414

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/06/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$79.90
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb361.59
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$123.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,660.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$595.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,168.15
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,480.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$872.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$453.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$136.70
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$450.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$249.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb75.38
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,920.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb722.70
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$459.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb742.50
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb89.65
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,025.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb106.24
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$445.00
SMIC (0981.HK)	O (10/21/2025)	HK\$65.35
TSMC (2330.TW)	O (02/07/2022)	NT\$2,365.00
UMC (2303.TW)	O (05/19/2026)	NT\$121.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$151.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$382.00

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$161.30
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb58.47
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb94.40
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb31.16
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb291.05
Innoscence (2577.HK)	E (10/13/2025)	HK\$42.74
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb75.87
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.58
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb95.60
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb86.35
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb66.50
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb27.52
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb94.03

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$900.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,410.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$16,750.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$100.00
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$147.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb111.02
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb385.00
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$129.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$261.00
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb208.36
Novatek (3034.TW)	U (02/04/2026)	NT\$543.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$125.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$605.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$66.60
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$744.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb52.25
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$171.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$125.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$233.50

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb111.90
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb366.33

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,175.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$604.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$13.35
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,475.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,300.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$246.65
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,775.00

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* Historical prices are not split adjusted.